

Long Questions

Q#01

What are the other legal forms of business ownership?

Other legal form can be used by a small business owner. The most popular of these are

- ★ Limited Liability Company LLC
- ★ Limited Liability partnership LLP
- ★ Family Limited Liability partnership FLP
- ★ Professional Service corporation PSC
- ★ Non-Profit corporation
- ★ The corporate
- ★ The Joint Venture
- ★ Fractional ownership

★ Limited Liability Company:-

• Formation:- LLC are formed to help entrepreneurs gain the benefits of limited liability provided by the corporation along with the tax advantage of a partnership.

• **Benefits:-** LLC provide benefits similar to the S-corporation without the special eligibility requirement.

• **Type:-** LLC is a type of **hybird** business structure that is now permissible in all states.

• **Design:-** It is design to provide the limited liability feature of a corporation and the tax efficiencies and operational Flexability of a partnership

• **Owners :-** The owners are member and the duration of the LLC is usually determined when the organization papers are filed.

• **Characteristics:-**

* Limited liability to the extent of assets

* Continuity of life

* Centralization of management

* Free transferability of ownership interest

• **Elect :-** LLC may elect to be taxed as a sole proprietorship, partnership or corporation

*** Limited Liability Partnership:-**

- **Organized :-** LLP is organized to protect individual partner from personal liability for the negligent act of other partner or employee not under their direct control.

- **Not Recognized :-** LLP is not recognized by every state those states that do something limit LLP to organized that provide a professional services such as medicine or law for which each partner is licensed.

- **Report :-** Partner report their share of profit and losses on their personal tax return.

★ Family Limited Partnership :-

In a family limited partnership the majority of partners are related to each other as spouses, parents, grandparents, siblings, cousin, nieces or nephews.

- **Type :-** The most common type of industry for this type of organization is agriculture or family farms.

The FLP offer the same advantage as other LLPs.

* Professional Service Corporation:-

- **Organized :-** A PSC must be organized for the sole purpose of providing a professional service for which each shareholder is licensed.
- **Advantage:-** The advantage here is limited personal liability for shareholders.
- **Option:-** The option is available for certain professional such as doctor, lawyers, and accountant.

* Non-Profit Corporation:-

- **Formation:-** These are formed for civic educational, charitable and religious purpose & enjoy tax exempt status and limited liability personal liability.
- **Managed:-** Non-profit corporation are managed by a board of director or trustee. Asset must be transferred to another non-profit group if the corporation is dissolved.

★ The Cooperative :-

The cooperative is a business composed of independent producers, wholesalers, retailers or consumers that act collectively to buy or sell for its clients. Usually the cooperative net profit is returned to the patrons at the end of each year, resulting in no profit and no taxes to it. To receive the **advantages** of a cooperative a business must meet certain requirements of federal & state government.

★ The Joint Venture :-

A joint venture is a form of temporary partnership whereby two or more firms join in a single endeavor to make a profit.

Example :- Two or more investors may combine their finance, buy a piece of land, develop it & sell it. At that time the joint venture is dissolved.

★ Fractional Ownership :-

Fractional ownership can be defined as a percentage share of an expensive asset. Usually the owner employ a management company to oversee the usage of the asset. Most often this form of structure is used for aircraft, sports, car & real property.

Example: Three pilots want to own their own private airplane but they cannot afford it alone. They decide to get together & each purchase one-third of the aircraft.